

Interview Feedback

Brew & Bean Profitability · 2026-07-17 · Overall: strong

Top improvement

Tighten quantitative rigor on nested-percentage conversions — when reasoning about a cost driver, scale the input's share of COGS by COGS-as-share-of-revenue before quoting points of margin (beans at ~60% of COGS at ~42% of revenue means a 40% spike adds ~10 points, not ~24), and make recommendations more surgical (target low-elasticity SKUs and hedge bean cost) rather than a blanket price hike.

Rubric Scores

Problem Structuring

strong

What went well

Opened by splitting the problem into diagnosis then action, and grounded the structure in the P&L rather than a generic template.

“I'd break this into two parts: first, understand what's actually driving the margin collapse, then figure out what to do about it.”

“Then I'd structure my analysis around the P&L: Margin fell 18 points while revenue grew 15%, so I'd want to isolate whether this is a cost of goods problem or an operating expense problem—or both.”

Stated an explicit prioritization principle tied to where the answer likely lives.

“My priority: I'd start by understanding the biggest mover first—if COGS drove 80% of the margin drop, I focus there.”

When challenged on MECE, tightened the structure with the margin-definition distinction rather than adding noise.

“The gap: I didn't specify which margin we're talking about.”

“If it's operating margin, then COGS + OpEx is MECE and complete. If it's gross margin, then I only need COGS.”

What needs work

The initial structure did not explicitly restate the objective (the CEO decision) and stopped short of decomposing revenue into volume x price up front, which delayed the pricing lens.

“Then I'd structure my analysis around the P&L”

Missed opportunities

In the opening framework, the candidate listed cost buckets but did not raise competitive context or pricing power.

A great answer: “I'd also check the competitive context — are peers seeing the same margin compression, which would suggest an industry-wide input shock, and does Brew & Bean have the brand/pricing power to pass costs through?”

Quantitative & Analytical Rigor

adequate

What went well

Built a clean, verbalized margin bridge from the cost-structure percentages and correctly reconciled it to the 18-point drop.

“Gross margin two years ago: $100\% - 42\% = 58\%$ Therefore OpEx two years ago: $58\% - 24\% = 34\%$ of revenue”

“COGS: +16 points (42% '58%) OpEx: +2 points (34% '36%) Total net margin decline: 18 points”

Attempted a bean-share back-of-envelope to sanity-check whether a 40% input rise could explain the 16-point hit, showing awareness that a cost-driver conversion is needed.

“If raw beans were, say, 60% of COGS two years ago, a 40% increase would theoretically add ~24 points to COGS % of revenue”

“We only saw 16 points of increase So either beans are a smaller portion of COGS than I'm assuming, or they raised prices”

What needs work

The bean back-of-envelope mixes units incorrectly: a 40% rise on beans at 60% of COGS (COGS itself ~42% of revenue) adds $\sim 0.4 \times 0.60 \times 42 \approx 10$ points of revenue, not the ~24 points claimed — the candidate multiplied by COGS share of COGS but forgot to scale by COGS-as-share-of-revenue.

“If raw beans were, say, 60% of COGS two years ago, a 40% increase would theoretically add ~24 points to COGS % of revenue”

Initially claimed OpEx 'basically stayed flat' before the bridge, an unverified assertion later corrected.

“OpEx as a % of revenue basically stayed flat (maybe improved slightly). So this is almost entirely a COGS story”

Missed opportunities

When reasoning about whether beans explain the 16 points, the candidate's conversion was off by roughly 2.5x due to the nested-percentage error.

A great answer: “Beans are a share of COGS, and COGS is only ~42% of revenue, so if beans are ~60% of COGS that's ~25% of revenue; a 40% rise adds ~10 points of revenue share — meaningful but not the full 16, so mix or pricing lag likely fills the gap.”

Data & Exhibit Interpretation

strong

What went well

Immediately isolated COGS as the driver from the first data point and quantified the implication before asking what was inside it.

“That's the key insight—COGS ate 16 points of margin right there.”

“Now I need to understand why COGS jumped 16 points.”

Read the time-series exhibit systematically, noting acceleration and the flat-labor anomaly with a business interpretation.

“Year 1 to Year 2: COGS jumped 8 points (42 '50) Year 2 to Now: COGS jumped another 8 points (50 '58) It's accelerating, not stabilizing.”

“Labor is frozen at 22% despite 15% revenue growth. That's unusual—you'd normally expect some operating leverage as you scale.”

Consistently paired each read with a concrete next step (drill into COGS composition, pricing actions).

“What's driving the COGS increase? Are we seeing: Input cost inflation...Mix shift...Operational deterioration...Pricing lag”

Missed opportunities

After the bean exhibit, the candidate treated the 40% as a company-specific problem.

A great answer: “A 40% bean spike is almost certainly market-wide, so competitors face the same shock — that actually strengthens the case for an industry-wide price increase since Brew & Bean isn't disadvantaging itself relative to peers.”

Business Judgment & Insight

strong

What went well

Correctly identified that you cannot cost-cut out of a 16-point COGS swing and that pricing is the primary lever, matching the model answer's logic.

“COGS is consuming 58% of revenue; you can't cost-cut your way out of a 16-point swing”

“Bean costs are up 40% and likely staying elevated (commodity shocks don't reverse fast)”

Surfaced a concrete, quantified risk to the recommendation and mitigation via parallel diagnostic.

“If mix shift or operational waste is 30-40% of the problem, pricing alone won't fully solve it. But you won't know until you look”

What needs work

The recommendation applies a blanket 8-12% price increase rather than targeting less-elastic high-margin SKUs, and it didn't propose locking in bean supply cost — both are core commercial moves given the commodity shock.

“Raise prices by 8-12% in the next 30 days. You'll lose some volume, but you're currently unprofitable at scale—price discipline is non-negotiable.”

Missed opportunities

Recommending pricing without differentiating by product elasticity.

A great answer: “I'd raise prices selectively — 8-12% on specialty drinks where demand is less elastic — while negotiating multi-year bean contracts to hedge cost, and pilot a lower-cost commodity blend for budget-sensitive locations rather than a uniform hike.”

Creativity & Brainstorming

adequate

The interviewer never ran a dedicated open brainstorm; this rating reflects the alternative-explanation prompt as the closest secondary evidence.

What went well

When pressed for alternative explanations, generated a structured set (mix shift, operational degradation) each with a rule-out data ask.

“Product mix shift is the big one I should consider.”

“The other alternative I should consider: Operational degradation—waste, spoilage, supply chain friction during rapid scaling. Coffee is perishable.”

What needs work

Idea generation stayed within conventional diagnostic buckets and did not extend to non-obvious solution ideas (hedging, supplier contracts, product reformulation) during the alternatives discussion.

“Which of these feels most likely to you, or do you have data on any of them?”

Synthesis & Recommendation

strong

What went well

Led answer-first with a committed recommendation, then supported it with three tied reasons and a sequenced plan.

“Bottom line: You need to raise prices, and you need to do it now.”

“Next 30 days: Price. Next 90 days: Diagnose.”

Named a specific risk and a mitigation path rather than hedging.

“The risk I’m flagging: If mix shift or operational waste is 30-40% of the problem, pricing alone won’t fully solve it.”

What needs work

The final synthesis carried forward the assumption that revenue growth was ‘likely volume-driven’ as if fact, when the interviewer never confirmed the volume/price split.

Missed opportunities

Closing recommendation to the CEO.

A great answer: “Raise prices selectively 8-12% on low-elasticity specialty SKUs and lock in multi-year bean contracts now; pilot a lower-cost blend for budget locations; the key risk is volume loss and hidden mix effects, which the parallel SKU-margin diagnostic will confirm within 90 days.”

Communication & Delivery

strong

What went well

Consistently top-down and signposted, opening turns with the headline insight before detail.

“That’s the key insight—COGS ate 16 points of margin right there.”

“Bottom line: You need to raise prices, and you need to do it now.”

Used hypothesis-driven framing and clearly narrated structure before diving into sub-points.

“Let me think out loud.”

What needs work

Several turns are dense with long enumerated lists that risk overwhelming the listener rather than prioritizing the one-or-two most decision-relevant asks.

“Revenue COGS (and gross profit/gross margin%) Operating expenses (ideally broken down: SG&A, R&D, or at least total OpEx and operating income) Interest expense Taxes (or tax rate) Net income”

Pushback, Composure & Case Leadership

strong

What went well

Owned the bridge error without defensiveness and corrected it precisely with reasoning.

“You’re right to make me walk through this—I made an error.”

“I was wrong when I said OpEx stayed flat—it actually increased by 2 points as a percentage of revenue.”

Responded to the anchoring challenge by genuinely updating, generating alternatives with rule-out tests rather than reflexively caving or rigidly defending.

“Fair point—I’m overconfident. Let me think through alternatives that produce the same 16-point COGS increase”

“The honest answer: Without those data points, I can’t definitively rule out mix shift or operational issues.”

What needs work

Ended multiple turns by deferring the drive back to the interviewer rather than proposing the next move himself.

“Which of these feels most likely to you, or do you have data on any of them?”

“Does that land, or would you push back on the sequencing?”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:02

I'd like to make sure I understand the situation. Brew and Bean's margin fell from 24% to 6% while revenue grew 15%. How would you like to approach this?

Candidate · 0:37

I'd break this into two parts: first, understand what's actually driving the margin collapse, then figure out what to do about it. Clarifying questions I'd want answered: Is this a recent change or gradual? Are we comparing year-over-year or quarter-over-quarter? Has the company been profitable the whole time, or are we now unprofitable? Do we have visibility into COGS and operating expenses—how did each move? Then I'd structure my analysis around the P&L: Margin fell 18 points while revenue grew 15%, so I'd want to isolate whether this is a cost of goods problem or an operating expense problem—or both. For COGS, I'd look at: Unit economics: did cost per item rise, or did the product mix shift toward lower-margin products? Pricing: did we discount to drive that revenue growth? Supply chain: did input costs spike? For OpEx, I'd examine: Did we overspend on headcount, marketing, or infrastructure to chase growth? Are there one-time costs inflating this period? Is the business just not scaling efficiently? My priority: I'd start by understanding the biggest mover first—if COGS drove 80% of the margin drop, I focus there. If it's OpEx bloat, that's a different problem. Once I know root causes, I can decide whether this is a pricing issue, a cost structure issue, or a strategic choice that needs reconsidering. What information do we have on those components?

Interviewer · 0:39

You've laid out cost structure across COGS and OpEx. Is that framework MECE — what's missing?

Candidate · 1:19

Good catch—it's not fully MECE, and I should tighten this. The gap: I didn't specify which margin we're talking about. $\text{Gross margin} = (\text{Revenue} - \text{COGS}) / \text{Revenue}$ $\text{Operating margin} = (\text{Revenue} - \text{COGS} - \text{OpEx}) / \text{Revenue}$ $\text{Net margin} = \text{Net Income} / \text{Revenue}$ I assumed operating margin and broke it into COGS and OpEx, which is MECE for that level. But if we're looking at net margin, I'm missing: Interest expense Taxes Other income/losses So my first move should've been to ask: which margin definition are we using? That said, given the context (24% ' 6% is a huge drop), we're probably looking at gross or operating margin, not net—a tax or interest swing wouldn't typically create an 18-point move. If it's operating margin, then COGS + OpEx is MECE and complete. If it's gross margin, then I only need COGS—OpEx is irrelevant, and I'd refocus entirely on product costs, pricing, and mix. Does that distinction land, or am I missing something else in the framework?

Interviewer · 1:20

The prompt refers to net profit margin. Let's get into the numbers. What would you like to pull first?

Candidate · 1:47

I'd pull the full P&L for both periods—the recent one and the prior period we're comparing against. Specifically: Revenue COGS (and gross profit/gross margin%) Operating expenses (ideally broken down: SG&A, R&D, or at least total OpEx and operating income) Interest expense Taxes (or tax rate) Net income Why this order: Since net margin fell 18 points while revenue grew 15%, net income must have declined in absolute dollars, or we've gone nearly unprofitable. I need to see where the leak is—is it all in COGS, or did OpEx balloon, or did interest/taxes spike? The P&L will tell me the magnitude of each mover, and then I can prioritize investigation. Once I see those numbers, I'll know whether to dig into pricing/costs (if gross margin collapsed) or spending discipline (if OpEx exploded) or capital structure (if interest spiked). Can you share the actual P&L figures for both periods?

Interviewer · 1:49

I have a cost structure breakdown as percentage of revenue. Let me start with COGS. Here's the current COGS as a percent of revenue: COGS is 58% of revenue today, up from 42% two years ago.

Candidate · 2:14

That's the key insight—COGS ate 16 points of margin right there. Since net margin only fell 18 points total, OpEx as a % of revenue basically stayed flat (maybe improved slightly). So this is almost entirely a COGS story, not a cost control problem. Now I need to understand why COGS jumped 16 points. The main candidates: Input costs spiked — materials, labor, or commodities got more expensive Pricing power issue — they didn't raise prices in line with cost increases Product mix shift — moved toward lower-margin products Operational efficiency — manufacturing waste, supply chain inefficiencies I'd ask: Do we know what's driving the COGS increase? Is it input cost inflation, a pricing lag, a mix shift, or operational deterioration? And a related question: Has the company raised prices at all during this period, or have they held flat while costs climbed? That'll tell me if this is a structural cost problem we need to solve operationally, or a margin recovery opportunity if they just re-price.

Interviewer · 2:17

You said COGS rose 16 points. Let me confirm — 58 versus 42, walk me through the rest of your margin bridge before we go on.

Candidate · 2:45

You're right to make me walk through this—I made an error. Margin bridge: Net margin two years ago: 24% Gross margin two years ago: 100% - 42% = 58% Therefore OpEx two years ago: 58% - 24% = 34% of revenue Net margin today: 6% Gross margin today:

100% - 58% = 42% Therefore OpEx today: 42% - 6% = 36% of revenue So: COGS: +16 points (42% ' 58%) OpEx: +2 points (34% ' 36%) Total net margin decline: 18 points I was wrong when I said OpEx stayed flat—it actually increased by 2 points as a percentage of revenue. So while the COGS collapse is the dominant driver (16 of 18 points), they also let OpEx slip by 2 points. That changes the story slightly. It's not just a COGS problem—they also weren't disciplined on spending during this growth period. Does that bridge look right to you?

Interviewer · 2:47

The bridge holds. COGS is the dominant driver. Let me show you the cost structure over time. Here's exhibit A.

Candidate · 3:21

Perfect. This tells a clearer story: The trajectory is concerning: Year 1 to Year 2: COGS jumped 8 points (42 ' 50) Year 2 to Now: COGS jumped another 8 points (50 ' 58) It's accelerating, not stabilizing. What stands out: Labor is frozen at 22% despite 15% revenue growth. That's unusual—you'd normally expect some operating leverage as you scale. Either they hired headcount proportionally to growth (which would be inefficient), or labor is genuinely fixed/semi-fixed. Overhead creep: 12% ' 14%, which matches what I calculated earlier. COGS is the runaway train. So my next question: What's driving the COGS increase? Are we seeing: Input cost inflation (materials, commodities, supplier price increases)? Mix shift (selling more lower-margin products)? Operational deterioration (waste, yield issues, supply chain inefficiencies)? Pricing lag (can't pass costs through to customers)? And as a follow-up: Is the 15% revenue growth coming from volume, price increases, or a mix shift? That'll help me understand if COGS is a permanent structural problem or a temporary lag we can recover from. What's the root cause here?

Interviewer · 3:24

Let me give you what I have on input costs. Here's the bean price change over two years: Raw coffee bean costs are up 40% over the past two years.

Candidate · 3:47

That's significant, but here's what puzzles me: a 40% input cost increase only translated to a 16-point margin hit, which suggests they partially passed costs through to customers. Let me think out loud: If raw beans were, say, 60% of COGS two years ago, a 40% increase would theoretically add ~24 points to COGS % of revenue We only saw 16 points of increase So either beans are a smaller portion of COGS than I'm assuming, or they raised prices and recovered some margin I need two things: What's the breakdown of COGS? What percentage is raw beans versus packaging, labor, shipping, etc.? (This tells me how much of the 16-point increase is bean-driven versus other factors.) What pricing actions have they taken? Did they raise prices on customers? If so, by how much? And when? Because if they raised prices by, say, 8-10% but bean costs went up 40%, they're only halfway to recovery, and that explains the margin compression. But if they haven't raised prices at all, then the story is different—they've absorbed 40% input cost inflation and that's why margins got crushed. What do you have on pricing and the COGS composition?

Interviewer · 4:00

We don't have detailed COGS composition or pricing beyond bean costs. Given what you know, what's your hypothesis on the root cause?

user My hypothesis: This is fundamentally a pricing/cost pass-through failure, driven by a commodity shock. The story: Raw coffee bean costs spiked 40%—a commodity/input shock, likely market-wide (weather, supply chain, global demand). Brew & Bean failed to fully pass this through to customers via pricing. If they had raised prices in line with input costs, gross margin would've held. Instead, they absorbed most of the increase, which is why COGS went from 42% to 58%. Revenue grew 15%, but that growth was likely volume-driven, not price-driven—they may have even discounted to drive traffic, compounding the problem. Secondary issue: OpEx crept up 2 points (overhead 12% ' 14%), suggesting they weren't disciplined on costs during growth—but this is minor relative to the COGS story. Why I'm confident: The math points overwhelmingly to COGS (16 of 18 points), and we know beans—a major coffee input—rose 40%. Even without the exact COGS composition, beans are almost certainly a dominant cost for a coffee chain, so a 40% spike is more than enough to explain the compression. The root cause isn't operational waste or mix shift—it's that input costs ran away and pricing didn't keep up. The good news: if it's a pricing problem, it's fixable through re-pricing, hedging, and margin management. That's my hypothesis. Shall I move to recommendations?

The candidate has anchored on pricing lag. Let me pressure it once before moving on. You attribute the gap to pricing not keeping up, but we have no pricing data. What alternative explanation could produce the same 16 points, and how would you rule it out?

Candidate · 4:38

Fair point—I'm overconfident. Let me think through alternatives that produce the same 16-point COGS increase: Product mix shift is the big one I should consider. If Brew & Bean: Shifted toward lower-margin products (e.g., cheaper cold brew or instant coffee vs. premium espresso drinks) Sold more volume of those lower-margin SKUs to drive that 15% revenue growth Then COGS as a % of revenue could spike without any pricing lag Why this is plausible: You typically see lower-margin products have higher COGS as a % of revenue. If they're chasing volume growth in a competitive market, they might've introduced a cheaper product line or discounted to gain market share—both would shift mix downward. How to rule it out: Revenue breakdown by product line (is growth coming from new, cheaper products?) Gross margin by SKU (where are margins compressing?) Did they launch new products or close product lines in this period? The other alternative I should consider: Operational degradation—waste, spoilage, supply chain

friction during rapid scaling. Coffee is perishable. Fast growth could've overwhelmed their supply chain, driving waste up. How to rule that out: Inventory turnover, waste metrics, shrinkage data. The honest answer: Without those data points, I can't definitively rule out mix shift or operational issues. Bean inflation is part of the story, but it might not be the whole story. Which of these feels most likely to you, or do you have data on any of them?

Interviewer · 4:40

We're nearly out of time. Bring it home — what's your recommendation to the CEO? We're near time. What's your bottom-line recommendation to the CEO?

Candidate · 4:58

Bottom line: You need to raise prices, and you need to do it now. Here's why: COGS is consuming 58% of revenue; you can't cost-cut your way out of a 16-point swing. Bean costs are up 40% and likely staying elevated (commodity shocks don't reverse fast). You've already absorbed most of that hit; further delay just compounds losses. Recommendation sequence: Price increase (immediate): Raise prices by 8-12% in the next 30 days. You'll lose some volume, but you're currently unprofitable at scale—price discipline is non-negotiable. Test different tiers to understand elasticity. Concurrent diagnostic (parallel): Simultaneously pull product-level margin data and waste/spoilage metrics. You need to know if there's a mix shift or operational drag hiding underneath the bean story. That determines your medium-term strategy. OpEx review (secondary): The 2-point overhead creep is minor but real. Tighten overhead spending to 12% of revenue while scaling. The risk I'm flagging: If mix shift or operational waste is 30-40% of the problem, pricing alone won't fully solve it. But you won't know until you look—and you can't afford to wait. Next 30 days: Price. Next 90 days: Diagnose. Does that land, or would you push back on the sequencing?

Interviewer · 5:00

That's time. Thank you — this concludes the case.

That wraps our session. I appreciate you working through it. We'll close here.